Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

1.1 Nature of Economics

- **Economics** is a social science that studies, analyses and predicts human behaviour.
- Scarcity is the source of all economic problems.
- Generally, economics can be classified into two branches:
  - Microeconomics
  - Macroeconomics

1.2 Wants, Scarcity and Choice

Wants

- **Wants** are human desires.
- Human wants are unlimited.

Wants and demand are different. (The concept of 'demand' will be further discussed in Chapter 8.)

Scarcity

- **Scarcity** refers to the situation in which the **resources available are not enough to satisfy all people's wants**.
- Scarcity is a relative concept. We need to compare the availability of resources against people's wants in order to determine whether there is scarcity.

- The problem of scarcity cannot be solved by adjusting prices.
- Scarcity and shortage are different. (The concept of 'shortage' will be further discussed in Chapter 8.)

Choice

- When scarcity exists, people need to make choices.
- If a person is rational, he or she will choose an option with the highest value.

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1.3 Relationship between Scarcity, Competition and Discrimination

- Scarcity exists when the resources or goods available are not enough to satisfy all people's wants.
  - People need to compete against each other for the resources or goods.
  - Discrimination is always implied regardless of the form of competition.
- There are two forms of competition:

Price competition	Non-price competition
People compete for resources or goods on the basis of price.	People compete for resources or goods on the basis of factors other than price, such as age, sex and qualification.

1.4 Opportunity Cost

Concept of opportunity cost

- The **opportunity cost** of a choice is **the value of the highest-valued option forgone**.



People who choose the same option do not necessarily incur the same opportunity cost.

Changes of opportunity cost

Situation	Effect on the opportunity cost
a change in the value of the highest-valued option forgone	will change
a change in the value of the chosen option	will not change
a change in the value of other options forgone	uncertain, depending on whether the value of the highest-valued option forgone changes

Concept of full cost

Full cost = Monetary cost (explicit cost) + Non-monetary cost (implicit cost)

- Monetary cost refers to the actual payment involved in obtaining the chosen option.
- Non-monetary cost refers to the cost involved in obtaining the chosen option with no actual payment made. Time cost is a common example of non-monetary cost.

Past expenditure is not a cost

- The cost that has been paid in the past and cannot be recovered:
  - is not the opportunity cost of the choice; and
  - does not affect current decision making.

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1.5 Relationship between Interest and Opportunity Cost

- **Interest** is the ①**cost of earlier availability of resources**. It is the ②**price or cost paid by the borrower for obtaining goods or resources earlier** as well as the ③**premium or compensation received by the lender for deferring consumption of goods or resources**.
- Interest exists in both barter economies and monetary economies. It can be in the form of goods or money.
- When interest rate increases (decreases), current consumption will decrease (increase) and saving will increase (decrease).



Interest exists even when there is no inflation.

1.6 Free Goods and Economic Goods

- **Goods** are:
  - broadly defined as anything, including tangible goods and intangible services, which can satisfy human wants.
  - things of which people prefer to have some rather than none.

Free goods

- **Free goods** refer to those goods that **people do not prefer more of as the quantity available is sufficient to satisfy all human wants**.
- As all human wants for free goods are satisfied, scarcity does not exist.
- As there is no competition for free goods, no one is willing to pay for them.
- Free goods are not produced from scarce resources which have alternative uses.



The supply of free goods may not be unlimited, but their quantity is enough to satisfy all people's wants.

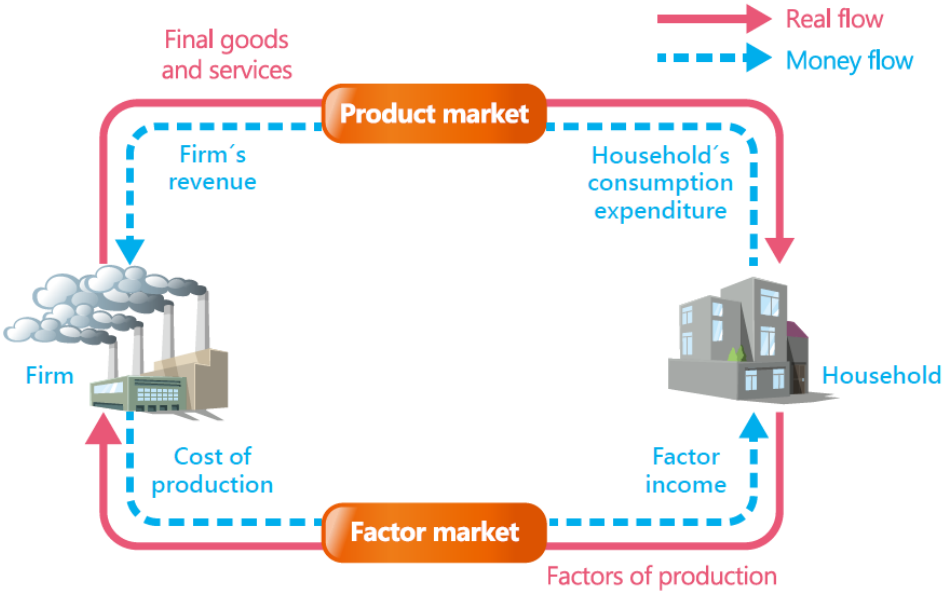
Economic goods

- **Economic goods** refer to those goods that **people prefer more of as the quantity available is not sufficient to satisfy all human wants**.
- As the quantity of economic goods available is not sufficient to satisfy all people's wants, scarcity exists.
- People are willing to pay and compete for economic goods.
- **Economic goods may be produced from scarce resources which have alternative uses.**
- Some goods can be regarded as free goods in some contexts and economic goods in other contexts, depending on:
  - the availability of the goods relative to human wants.
  - how the good is defined.
- Goods that are free of charge are not necessarily free goods. Economic goods can be provided to consumers free-of-charge.

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1.7 Circular Flow of Economic Activities

- **The circular flow model** is a simple economic model showing how an economy is organised, i.e. how money, goods and services as well as factors of production flow between the basic economic units (firm and household).



1.8 Positive Statements and Normative Statements

- **Positive statements** are statements that describe what is, with no value judgement. They are refutable by facts.
- **Normative statements** are statements that describe what ought to be. They involve value judgement on what is desirable or the best. They are not refutable by facts.

A positive statement is either true or false and it can be tested against the objective facts in the world.

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